

Financial Terminology and KPI Reference Guide

Revenue

Total gross sales and receipts generated from primary business operations.

Net Profit (Net Income)

Net earnings remaining after deducting all expenses, depreciation, interest, and taxes.

Gross Profit

Revenue minus Cost of Goods Sold (COGS). Indicates core production efficiency.

Operating Profit (EBIT)

Earnings before interest and taxes generated strictly from ongoing operations.

Total Assets

Aggregate value of all current and long-term economic resources owned by the entity.

Total Liabilities

Total financial obligations and claims held by creditors against the entity.

Shareholders Equity

Net book value of the enterprise calculated as Total Assets minus Total Liabilities.

Current Assets & Current Liabilities

Short-term economic resources realizable within one year versus short-term debts due within one year.

Cash and Cash Equivalents

Bank deposits, commercial paper, and short-term liquid treasury investments.